ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PRACTICE EXAM 2

MARKS: 100 **TIME: 2 hours**

Covers the Grade 7 year: the economy (money, goods and services, scarcity and choices, inequality and poverty), financial literacy (personal budgets, sources of income, savings and interest, fixed and variable expenses) and entrepreneurship (a small business case study, planning for Entrepreneur's Day, pricing).

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (30) and SECTION D: Entrepreneurship (25).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 Which of these was NOT used as money in the distant past?

A Credit cards B Cattle C Shells D Salt

1.2 Which of the following is a want?

A Clean water B Warm clothing
C Food D Holiday overseas

1.3 Which is a service provided by the government?

A Selling bread B Policing C Hairdressing D Selling airtime

1.4 The money a bank pays on a savings account is called …

A rent. B a salary. C profit. D interest.

1.5 A budget in which the expenses are more than the income has a …

A surplus. B deficit. C profit. D saving.

1.6 Which of these is usually a variable expense?

A Rent B School fees C Groceries D Insurance

1.7 The workers in a business are which factor of production?

A Labour B Natural resources
C Capital D Entrepreneurship

1.8 The machines and tools used to make products are called …

A labour. B capital. C natural resources. D land.

1.9 Selling price minus cost price gives the …

A income. B expense. C capital. D profit.

1.10 The main aim of advertising is to …

A inform and persuade customers. B pay suppliers.
C reduce costs. D train workers.

(10)

QUESTION 2: MATCHING COLUMNS

Choose a description from COLUMN B that matches the term in COLUMN A. Write only the letter (A–L) next to the question number, e.g. 2.11 M.

COLUMN A	COLUMN B
2.1 Barter	A A place where buyers and sellers meet to trade
2.2 Needs	B Money received from work or other sources
2.3 Services	C Not having enough money for basic needs
2.4 Income	D Exchanging goods directly without using money
2.5 Budget	E Tools, machines and money used to produce goods
2.6 Savings	F Work done for people, e.g. teaching or nursing
2.7 Entrepreneur	G A plan for income and spending
2.8 Capital	H Money put aside for the future
2.9 Poverty	I Someone who starts and runs a business
2.10 Market	J Things we must have to survive
	K Money borrowed from a bank
	L Things we would like to have

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 Money

3.1.1 Give TWO characteristics of good money. (2)

3.1.2 Why did people start using coins instead of cattle as money? (2)

3.1.3 Which institution is responsible for issuing South Africa's banknotes and coins? (1)

3.1.4 Whose portrait appears on the front of South African banknotes? (1)

3.2 Goods and services

3.2.1 Classify each as a good or a service: (a) a bus ride; (b) a loaf of bread; (c) a dental check-up; (d) a school textbook. (4)

3.2.2 Explain the difference between producers and consumers. (2)

3.3 Zola receives R200 pocket money. She would like to buy a T-shirt (R150) and a movie ticket (R90), and she must also buy stationery for school (R80).

3.3.1 Which of the three items is a need? (1)

3.3.2 Can Zola buy all three items? Show your calculation. (2)

3.3.3 What should she buy first? Give a reason. (2)

3.3.4 After buying the stationery, how much money is left, and which ONE other item can she afford? (1)

3.4 Read the case study and answer the questions.

> Thandi lives in a small village in the Eastern Cape. The nearest clinic is 15 km away and there is no tap water at her home; she fetches water from a river every morning before school. Her father lost his job at a mine last year, and the family now depends on her grandmother's pension.

3.4.1 Identify TWO signs of poverty in the case study. (2)

3.4.2 Give TWO ways in which a community can help families like Thandi's. (2)

3.4.3 Explain what is meant by *inequality*. (2)

3.4.4 Name ONE government grant that Thandi's family could apply for. (1)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Sipho (12 years old) drew up this monthly budget.

INCOME		**EXPENSES**	
Pocket money	R300	Airtime	R80
Washing neighbours' cars	R150	Snacks	R120
		Savings	R100
		Taxi fare to soccer practice	R60
		Movies	R70

4.1.1 Calculate Sipho's total income. (2)

4.1.2 Calculate his total expenses. (2)

4.1.3 Does he have a surplus or a deficit? Calculate the amount. (2)

4.1.4 Sipho wants soccer boots that cost R600. How many months will it take if he saves only the R100 in his budget each month? (2)

4.1.5 How many months will it take if he also saves his surplus every month? (2)

4.1.6 Suggest TWO ways in which Sipho could increase his income. (2)

4.1.7 Which ONE expense could Sipho cut? Give a reason. (2)

4.2 Name FOUR different sources of income for households. (4)

4.3 Mrs Zulu invests R5 000 in a savings account at 7% simple interest per year for 3 years.

4.3.1 Calculate the interest she will earn after 3 years. (3)

4.3.2 Calculate the total amount in the account after 3 years. (1)

4.3.3 Name TWO documents a person needs to open a bank account. (2)

4.3.4 Many South Africans belong to a stokvel. Explain what a stokvel is. (2)

4.4 Explain the difference between a fixed expense and a variable expense. Give ONE example of each. (4)

[30]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 Read the case study and answer the questions.

> Kagiso (13) and his friend Bongani started a car wash in their street on Saturdays. Kagiso used his savings to buy buckets, sponges and a hosepipe for R350. They charge R40 per car. Last month they washed 30 cars. They spent R150 on car shampoo and paid R60 towards the water bill.

5.1.1 Calculate the income for the month. (2)

5.1.2 Calculate the profit for the month if the equipment, the shampoo and the water are all included as costs. (3)

5.1.3 Does Kagiso's business sell goods or services? (1)

5.1.4 Name TWO risks that Kagiso's business faces. (2)

5.1.5 Bongani helps to wash the cars. Which factor of production does he provide? (1)

5.1.6 What is a competitor? Give ONE way in which Kagiso can compete with another car wash nearby. (2)

5.1.7 Suggest TWO ways in which Kagiso can grow his business. (2)

5.2 Give TWO skills that an entrepreneur needs. (2)

5.3 Give FOUR things that a Grade 7 group must plan before Entrepreneur's Day. (4)

5.4 It costs R4 to make one cupcake. The group wants to add 50% to the cost to make a profit. Calculate the selling price of one cupcake. (2)

5.5 Why is it important for a business to keep a record of all money received and paid? (2)

5.6 Give TWO advantages of starting your own business. (2)

[25]

TOTAL: 100

END OF QUESTION PAPER